

chief executive officer, Jeffrey Skilling, used to berate analysts who questioned the company's business model, telling them they were "too stupid to get it."¹⁰⁷ That was before we learned it was a giant accounting fraud. The same was true of Bernie Madoff, whose multibillion-dollar Ponzi scheme relied on people not understanding it. Both firms took advantage of our fear of looking stupid in front of our peers.

The lesson here is that when people are too embarrassed to say, "I don't understand this" or "Explain this to me," bad things happen.

Saying "I don't know" is a superpower. It reflects a quiet self-confidence in your own intellect. Anybody who hides their methodology or berates an investor who says, "I don't understand this," is unworthy of your capital.

Unwillingness to admit error is a consistent problem for investors—and everyone else. A simple rule for avoiding mistakes is "If you don't understand it, don't invest in it." That is how "I don't know" could have saved those investors billions.



Admitting our own ignorance about investments and technologies is a crucial part of being a good steward of capital. There is a heavy cost to be paid for holding on to false belief systems. Let's look at some of the bad ideas that never seem to go away.

¹⁰⁴ Horatio Alger Association, "Elizabeth Holmes, Visionary Silicon Valley Entrepreneur and Passionate Advocate for Female Engagement of STEM Curricula to Receive 2015 Horatio Alger Award." PR Newswire (December 4, 2014).

¹⁰⁵ Kimberly Weisul, "How Playing the Long Game Made Elizabeth Holmes a Billionaire," *Inc. Magazine* (October 2015).

¹⁰⁶ Consider all the different tech sectors and subsectors: Biotech, telecom, graphene and nanotech, software, autonomous vehicles, 3-D printing, materials sciences, genomics, robotics, networking, semiconductors, drones, synthetic biology, quantum computing, automation, AI, big data, and cloud computing.

¹⁰⁷

April Witt and Peter Behr Washington, "Dream Job Turns Into a Nightmare: Skilling's Success Came at High Price," *The Washington Post* (July 29, 2002).